



MONEY AND CAPITAL MARKETS
FINANCIAL REPORT
**VIETNAM
INTERNATIONAL
BANK**

2022

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History of formation and development

Established: September 18, 1996

- Initial charter capital: 50 billion VND
- Employees: 23

As of June 30, 2022:

- Charter capital: >VND 21,076 billion
- Owner's equity: >28,250 billion VND
- Total assets: >348,000 billion VND
- Employees: 11,000 employees.
- Branches: 174 branches
- Transaction offices in 27 key provinces/cities nationwide.

Leaderships

- Chairman of the Board: Dang Khac Vy
- Vice Chairman of the Board: Dang Van Son
- Supervisory Board: Nguyen Thuy Linh
- General Director: Han Ngoc Vu
- Deputy General Director: Ho Van Long, Tran Nhat Minh, An Thanh Son
- CFO: Ho Van Long
- Chief Accountant: Pham Thi Minh Hue

Business sectors

Group sector : Finance and insurance.

Sectors: Credit intermediation and related activities

Main business sectors:

- Mobilizing short-term, medium-term and long-term capital.
- Receive investment and development trust capital from domestic organizations.
- Borrowing capital from the State Bank and other credit institutions.
- Short-term, medium-term and long-term loans.
- Discounting commercial papers, bonds and valuable papers; perform factoring operations.
- Trading, providing foreign exchange services on the domestic market and on the international market within the scope prescribed by the State Bank...

About VIB

Vietnam International Commercial Joint Stock Bank, abbreviation is Vietnam International Bank (VIB), is one of the leading joint stock commercial banks in Vietnam.

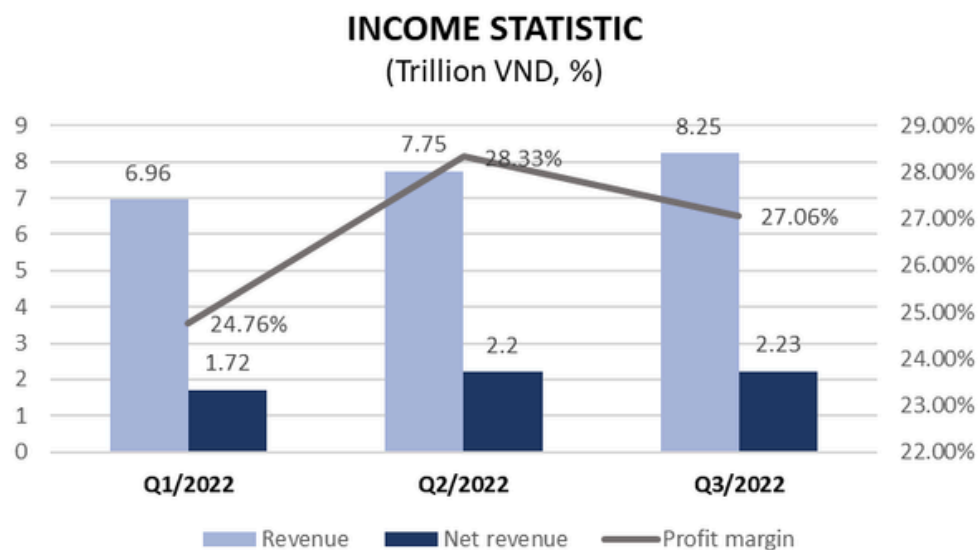
INTRODUCTION

First 9 months of 2022

BUSINESS PERFORMANCE

Outstanding business results, market leading performance indicators

Total revenue of over 13,300 billion VND, up 29% over the same period. *Non-interest income* reached more than VND 2,400 billion, contributing 17% to *total operating income*. *Operating expenses* were well controlled, about VND 4,600 billion, with an increase of 12%, much lower than the increase in *revenue*. *Cost/revenue ratio (CIR)* dropped to 35%, cost effective at the top of the industry. *Provision expense* is estimated at more than 900 billion VND. *Pre-tax profit* in the third quarter reached VND 2,780 billion. By the end of the first 9 months of the year, VIB's *pre-tax profit* reached VND 7,800 billion, up 46% compared to the same period last year, the *return on equity (ROE)* reached 30%, among the top in the market.

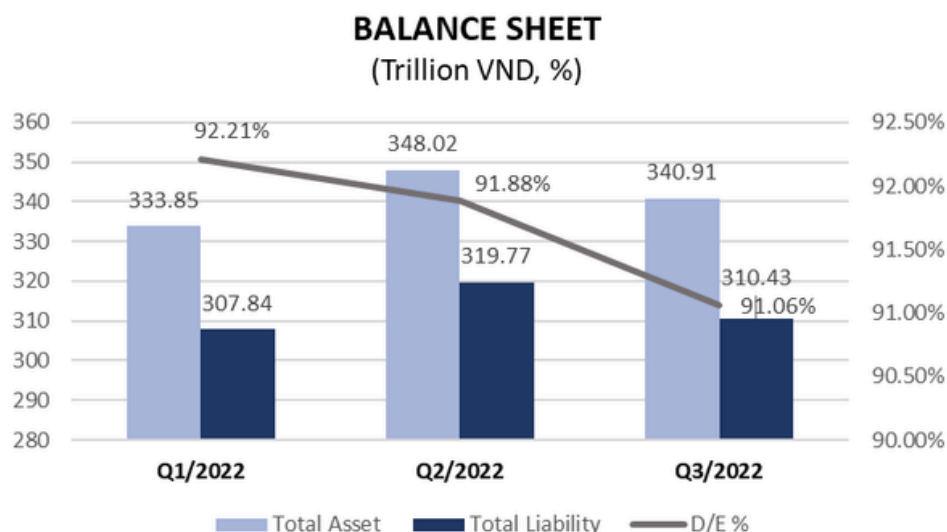


Strong balance sheet, concentrated risk among the lowest in the market

As of September 30, 2022, VIB's *total assets* reached VND 341,000 billion, up 10% compared to the end of 2021. *Credit balance* reached VND 228,000 billion, up 12% compared to the end of 2021.

VIB is one of the banks with the lowest *concentration of credit risk* in the market with the maximum *concentration of risk dispersion*, the proportion of *retail loans* accounts for 90% of the *total loan portfolio*, with over 90 % loan with collateral. In addition, VIB has the lowest *investment balance* in corporate

bonds in the industry, about VND 2,100 billion, equivalent to 0.9% of *total credit balance*, of which most bonds are in the manufacturing and trading and consuming sectors.



Equity increased sharply, foreign strategic partners in the safest group in the world

By September 30, 2022, VIB's *total equity* reached VND 30,500 billion, an increase of 26% compared to the end of 2021, more than double the *growth rate of outstanding loans*. Strategic partner CBA (Commonwealth Bank of Australia) is VIB's largest shareholder with 20% of *capital contribution*. CBA is rated as one of the largest banks by market capitalization (\$105 billion) and safest in the world with a base credit rating (BCA) of a2 by Moody's.

Return on equity (ROE) has been maintained at an average of 30% for many consecutive years, creating additional capital for the Bank's operations. The *capital adequacy ratio (CAR)* of VIB according to Basel II reached a high level of over 12.4%, compared to the SBV's regulations of over 8%.

Along with promoting the growth of the customer base and deposits, VIB always

maintains a high *liquidity ratio*, in which the *loan-to-deposit ratio (LDR)* reaches 75% (as regulated as follows: less than 85%), *liquid assets ratio (MLH)* is 17% (according to regulations is above 10%) and *short-term capital for medium and long-term loans (SML)* 32% (under 34 percent as regulated).

Top reputation as ranked by SBV, strong risk management

VIB is one of the few commercial banks to be ranked highest by the State Bank for 2021, based on evaluation results with high scores on: Capital adequacy, asset quality, governance, results business performance and liquidity.

Always a pioneer in the application of international standards, VIB is the first bank to complete the 3 pillars of Basel II in 2020, applying and complying with Basel III standards on liquidity risk management in 2021 and dong. was one of the few banks to issue audited financial statements for 2020 and 2021 in accordance with international standards (IFRS).

Market leader in many retail segments

Over the past five years, VIB has been one of the leading banks in terms of retail credit growth. Accordingly, VIB's retail loan balance exceeded 200,000 billion dong, ranking among the top among private joint stock commercial banks.

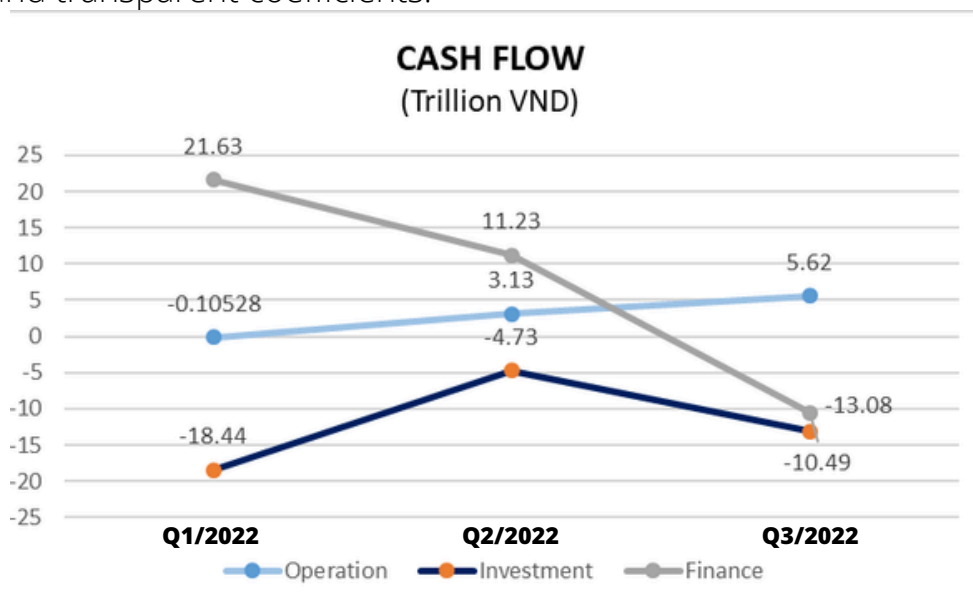
By the end of the third quarter of 2022, VIB continues to be in the leading group in terms of market share for auto loans and life insurance nationwide. In addition, VIB continues to be rated by leading payment intermediaries such as Mastercard as one of the banks with the fastest credit card growth and highest card spending in Vietnam. VIB currently holds the No. 1 market share - contributing over 35% of total Master card spending in Vietnam, and is a pioneer in promoting artificial intelligence (AI), big data and big data applications. Machine Learning in card operations.

In July 2022, Vie - VIB's first AI financial expert in Vietnam was officially launched with the ability to advise and guide customers to open and use cards on all digital channels. In August 2022, VIB was honored with 9/11 awards from Mastercard for outstanding credit card activities not only in Vietnam but also throughout the Asia-Pacific region.

With a consistent customer-centric strategy in digitization and digital transformation, VIB pioneers in applying many new technologies and building value chains to bring customers better experiences. As a result, in the first 9

months of 2022, VIB recorded outstanding growth with the number of digital banking transactions increasing by more than 100% compared to 2021 and reaching 93% of transactions via digital channels. Up to now, MyVIB Digital Banking App has received the award for the fifth time from The Asset and for the 8th time in a row, it has been honored by major international media outlets such as The Banker, The Asset, and Global Finance Review with awards. reputation. Recently, MyVIB 2.0 has just set two Vietnamese records including "First bank in Vietnam to provide augmented reality (AR) experience on digital banking application MyVIB 2.0" and "MyVIB 2.0 - Mobile application" The first Banking Cloud Native in Vietnam".

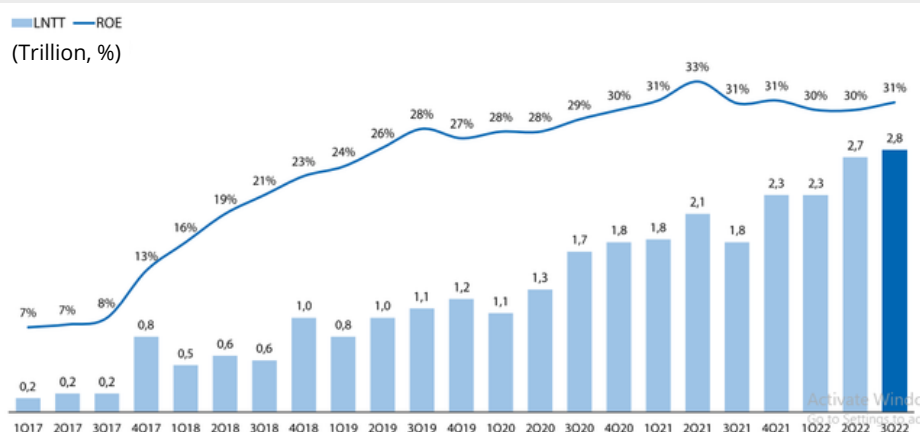
As the bank with the highest retail concentration in the market - over 90%, VIB continues to implement business strategies to invest in the digital transformation of all banking products and services, maintain leading position in a number of key retail business segments, while focusing on risk management to ensure safe, healthy and transparent coefficients.



First 9 months of 2022

BUSINESS PERFORMANCE DETAILED DATA

24 consecutive quarters of strong profit growth

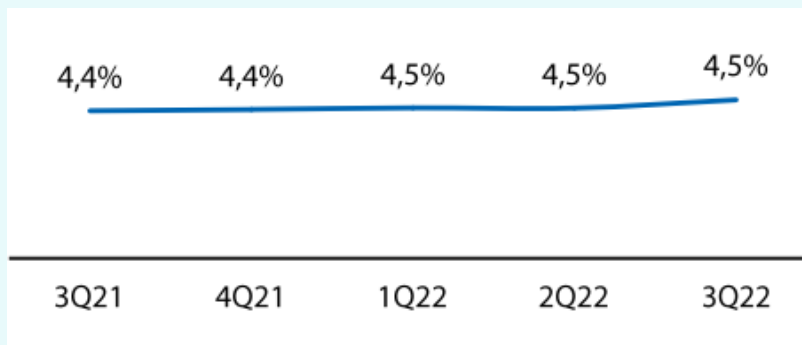


High profitability, focus on core business

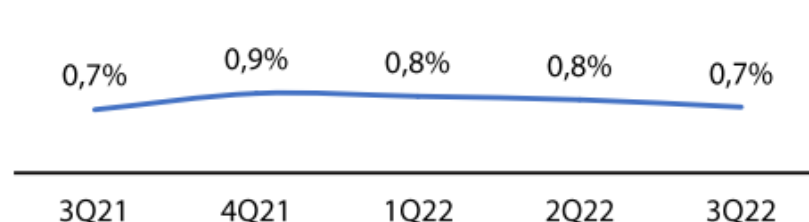
Billion VND, %	1Q22	2Q22	3Q22	% YoY (9months)	YTD
Revenue	4,136	4,609	4,627	29%	13,371
Net interest income	3,516	3,700	3,836	31%	11,052
Net profit from service activities	648	905	795	31%	2,349
FX profit/loss	(81)	(87)	(55)		(223)
Profit/loss of investment securities	2	(15)	(66)		(79)
Other income	51	106	116		273
Operating cost	1,460	1,501	1,670	14%	4,631
Contingency cost	397	363	166	1%	926
General provision	93	52	32	-5%	177
Specific provision	304	312	134	3%	750
Pre-tax profit	2,279	2,744	2,791	46%	7,814

NIM and ROE ratios continue to maintain well

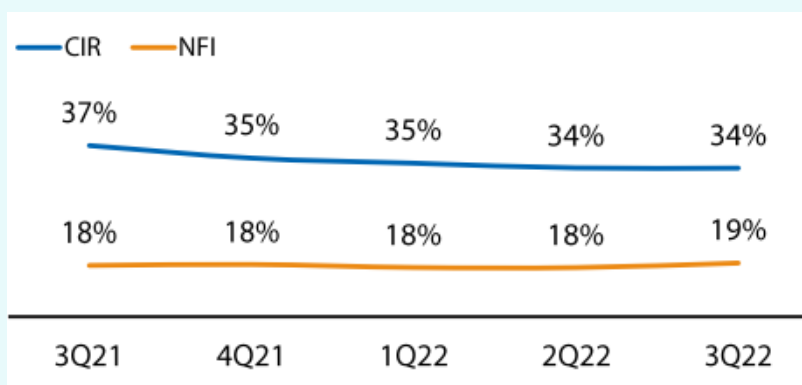
NIM% (last 4 quarters)



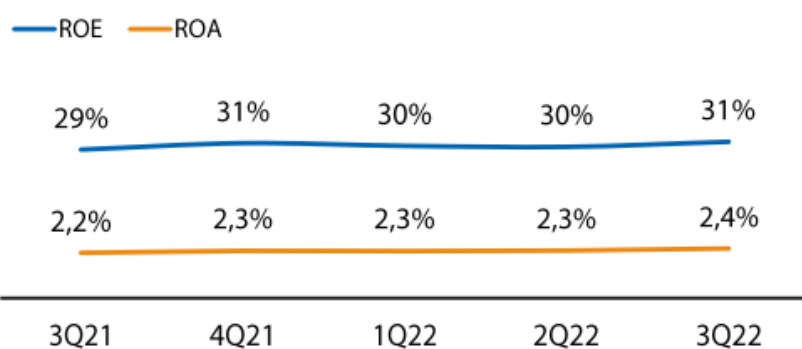
Credit cost % of loan (last 4 quarters)



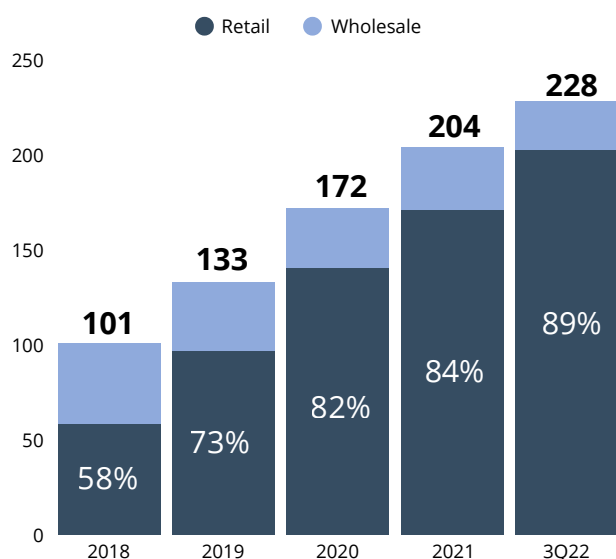
Fee collection ratio (NFI) & CIR % (last 4 quarters)



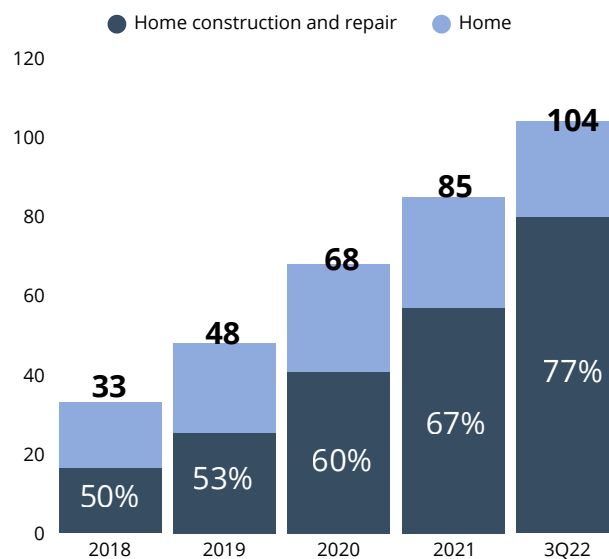
ROE & ROA (last 4 quarters)



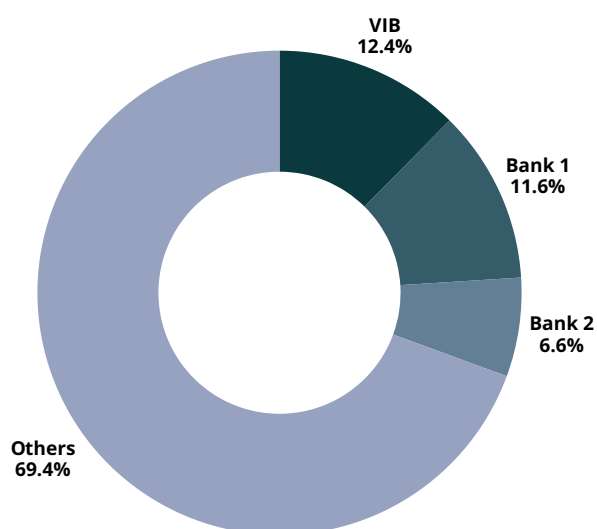
Retail loans reached VND 204 trillion, housing loans grew strongly



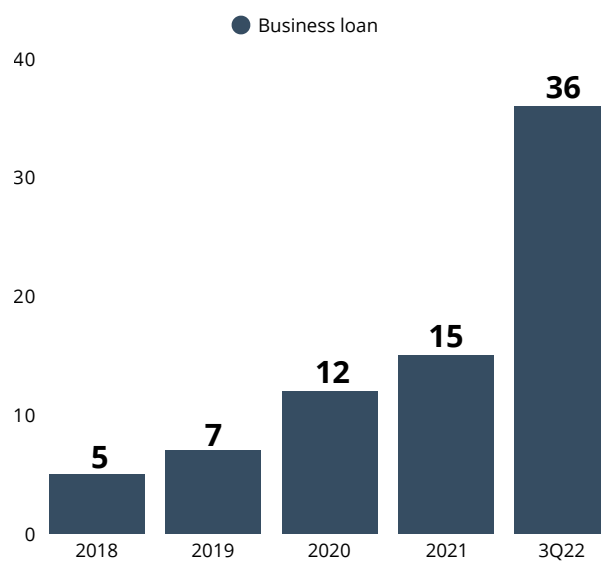
Leading in retail lending rate
(Trillion VND, %)



Home loans account for a large proportion in the portfolio
(Trillion VND, %)



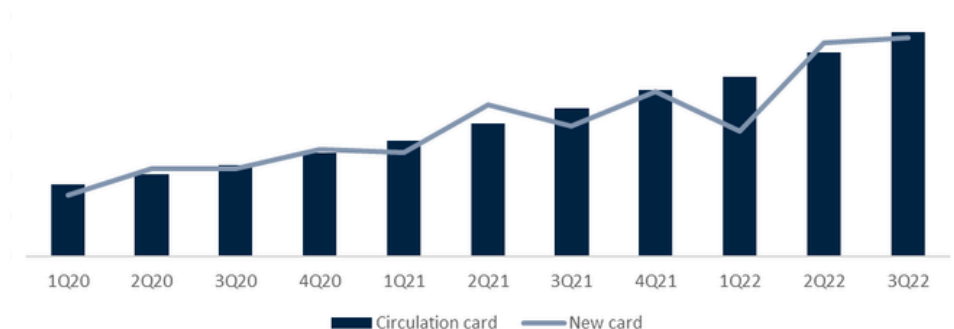
Top 1 the market share of car loans
(Billion VND, %)



Business loan growth impressive
(Billion VND, %)

Card growth: Dynamic, creative and highly profitable (accounted for 35% of the Master Card market share)

VIB SURPASSES 500,000 CREDIT CARDS (Thousand cards)

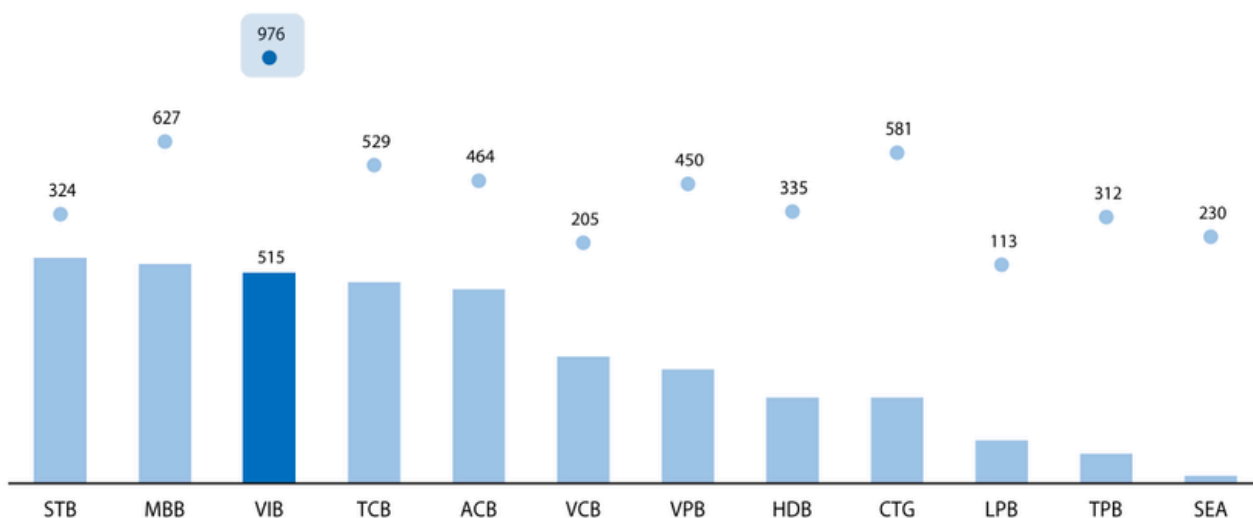


TOTAL CREDIT CARD SPENDING GREW STRONGLY (Thousand cards)



Bancassurance continues to be in the top leader of the market

■ APE 3Q22 (Billion VND) ● Productivity per branch (Million VND)



First 9 months of 2022

HIGH QUALITY CORPORATE CUSTOMERS

Customer segmentation

Corporate customers

- Focus on companies that have good financial results and hold the top position in the market.
- Leading players in the private sector (POE) and developing the FDI segment.
- Support for suppliers and distributors, ecosystem of enterprise customers.

State-owned Enterprises



Joint Stock Company



Foreign Capital Enterprises



Main products and services

- Transactional banking (cash solutions, commerce, services)
- Short-term funding



First 9 months of 2022

RELIABLE SOURCE OF FUNDS

Foreign capital mobilization (At September 30, 2022)

Recent: 910 million USD

Pipeline: 250 million USD

- Cooperating with IFC/ADB and other leading international banks to mobilize long-term syndicated loan.
- Foreign borrowings for commercial sponsor activities: 400 million USD.
- **New disbursement of USD 150 million** is expected on October 28, 2022, with COF of 3.7% (SOFR + Deposit).

Forex and swap trading blocks

\$90 billion, growth 17% YoY

- VIB ranks 5th in terms of forex swap volume in the interbank market, according to VBMA.

Bond trading volume

71 trillion VND - Government Bonds

6 trillion VND - Bond Issuance

- Active market maker for government bonds of VBMA.
- Active operation in the bank bond market.
- Reliable bond issuer.

First 9 months of 2022

BALANCE SHEET

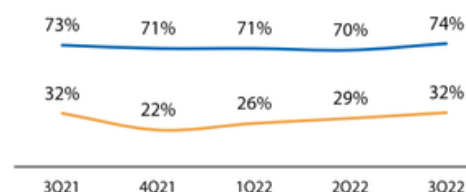
Optimize to maintain profitable performance

Billion VND, %	1Q22	2Q22	[Net] 3Q22	% Ytd	30.09.22
Asset	24,141	14,173	(7.108)	10%	340,910
Customer Loan	9,853	7,600	4,424	11%	226,260
Corporate Bond	(16)	(300)	(140)	-17%	2,172
Government Bond	5,180	2,809	(414)	111%	14,426
Bank bond	1,487	(5,142)	1,352	-7%	32,975
Deposit at SBV and credit institutions	2,267	9,101	(10,555)	2%	53,689
Liability	22,613	11,934	(9,340)	9%	310,433
Customer deposit	10,237	13,367	(8,136)	9%	189,033
Valuable papers issuance	464	(2,060)	(5,513)	-17%	35,189
Deposit and loan to other credit institutions	10,932	(77)	3,431	22%	78,472
Owner's Equity	1,721	2,238	2,228	25%	30,478

Good liquidity and comprehensive compliance

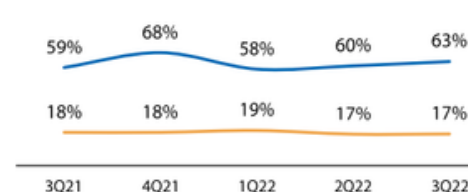
LDR & SMLR %

— LDR — SMLR



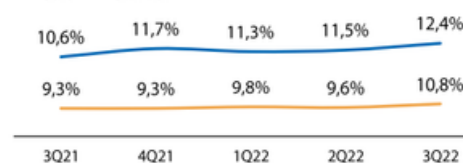
LCR & MLH %

— LCR VND — MLH

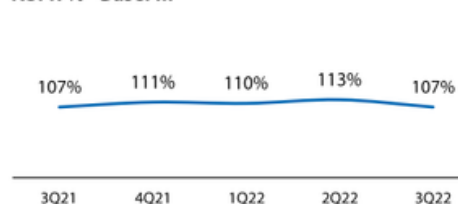


CAR % - Basel II

— CAR — CAR Tier 1



NSFR % - Basel III



First 9 months of 2022

PROSPECT IN 2022

Growth

- Non-credit: Focusing on strong growth in the number of new quality customers, credit cards, insurance, digital banking and transaction banking.
- Credit: Growth according to SBV's limit, for the highest rated bank by SBV can be 4.3% - 4.5%.
- NIM is maintained at 4.3% - 4.5%

Effective

- CIR: 33% -35%.
- Continue to invest in digital banking, branding, people, branch network and technology. Key technology projects include: Cloud Transformation, Digital Banking, Corebanking Modernization, Customer Data Platform, Total Data Management, BI, Advanced Basel II, AML.

Risk

- Bad debt less than 1.8%.
- Restructuring debt is nearing zero.
- Reduced provisioning, credit expense on outstanding balance remained below 0.9%.

Profit

- Pre-tax profit: 10,500 billion VND, 30% YoY
- ROE: 30%.
- CAR: 12.5%.



First 9 months of 2022 RISK MANAGEMENT

Strict management framework and building risk culturebuilding

- The pioneer bank in Vietnam to apply leading risk management standards, including Basel II, Basel III, IFRS, rating, risk management mechanism; 3-layer defense model with a strong focus on risk prevention.
- Cautious risk appetite.
- Strong investment in system and capacity, including LOS, Basel, Data, Scorecards, AML, Card Frauds system.

Credit Risk

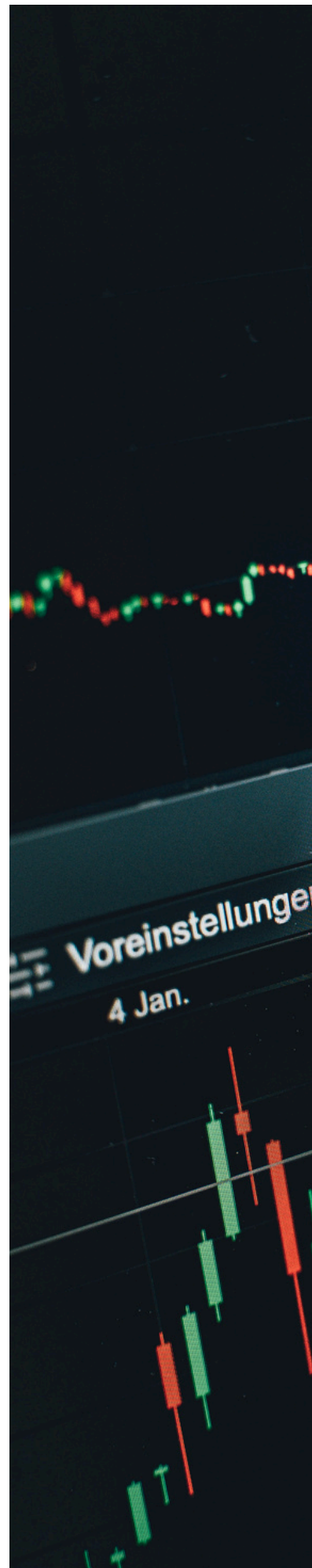
- The ratio of bad debt in risk appetite is 1.75% in December 2021 and 1.73% in September 2022.
- The lowest concentration of risk in the industry, the minimum balance of corporate bonds (2.1 trillion VND, 0.9% of total credit).
- Digitize within the framework of risk-taking with: New Credit Platform; Make decisions based on Risk Data combined with intelligent scoring model and qualitative analysis.

Operation Risk

- Fully comply with SBV regulations and VIB's operating model.
- In order to adapt to the situation of the Covid-19 epidemic in 2021, VIB has upgraded its operational risk management model and flexible customer support policy, which develops hypothetical situations and plans to maintain operations.

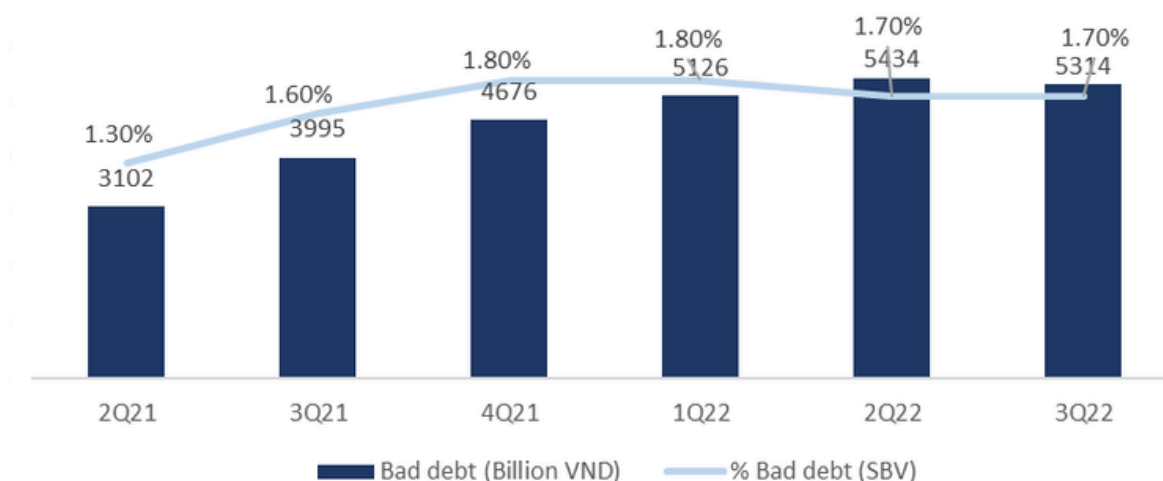
Market Risk

- Comply with regulations, IRRBB and liquidity risk management, comply with all requests by 3rd parties.
- Develop a risk management system associated with Basel III standards, a modern measurement system to calculate liquidity risk.

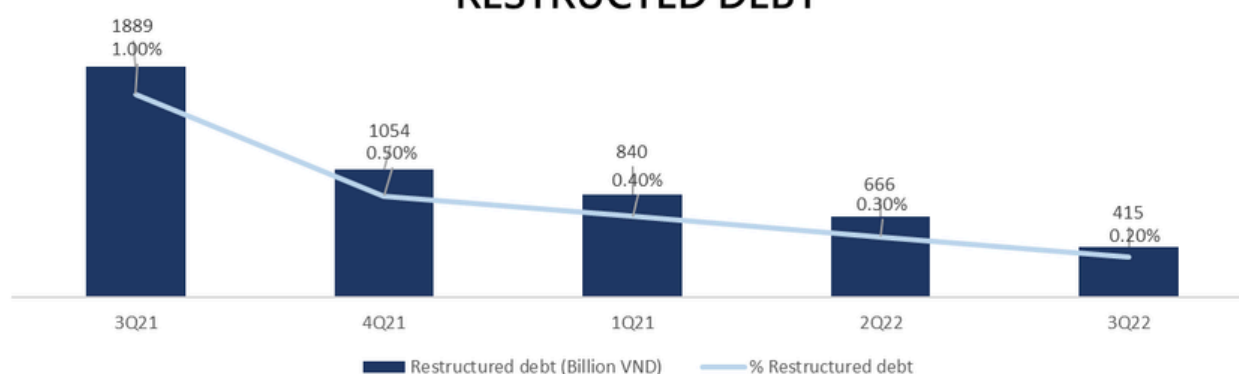


Asset quality: Bad debt is stable at low level

BAD DEBT



RESTRUCTURED DEBT



Market and liquidity risk: Adhere to optimal ratios

Financial Risk Index	Regulation by	Regulated Level	VIB 09/2022	Status
Liquidity Risk				
LDR	SBV	≤ 85%	74.3%	Follow
SMLR	SBV	≤ 37%	32.4%	Follow
MLH	SBV	≥ 10%	17.1%	Follow
LCR – VND	SBV	≥ 50%	62.6%	Follow
LCR – FCY	SBV	≥ 10%	39.3%	Follow
NSFR	Bassel III	≥ 100%	107.1%	Follow
Foreign Currency Risk				
ΣPositive position/Capital	SBV	≤ 20%	0.31%	Follow
ΣNegative position/Capital	SBV	≥ -20%	0.00%	Follow

First 9 months of 2022

VIB SECURITIES

RECOMMENDATION		BUY
Current price (VND)	21,400	
Year-end target price (VND)	25,000	
Arbitrage profit	16.8%	
Expected dividend yield	3.2%	
Total expected profit	20%	
Main Information		04/12/2022
Stock code	VIB/HOSE	
Industry	Banking	
Number of issued shares	2,107,672,945	
Market Capitalization (Billion VND)	45,104.20	
Foreign room (%)	0%	
52 weeks highest/lowest	36,300 / 16,200	
3 months average trading volume	3,083,231	
Price movement		1M 3M YTD
Change (%)	+6.20%	-14.40% -39.75%
Relationship with VN-Index (%)	+5.46%	-15.91% -29.21%
Ownership structure		
Government	0%	
Domestic	79.5%	
Foreign	20.5%	
Major shareholders		
Commonwealth Bank Of Australia	14.41%	
Do Xuan Hoang	4.96%	
Dang Khac Vy	3.68%	

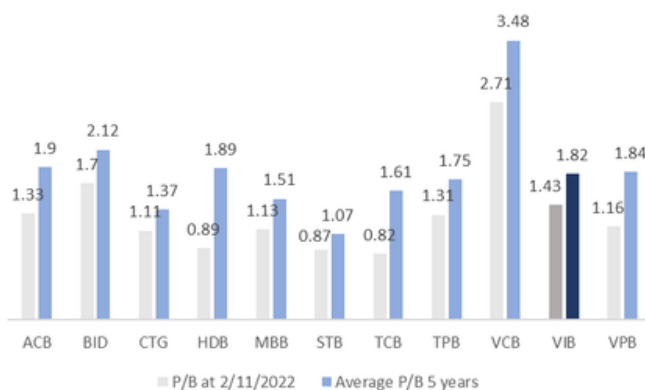
Book value at Q3/2022 of banking industry

BVPS Q3/2022 (VND/share)

ACB	16,500
BID	19,950
CTG	21,900
HDB	18,350
MBB	16,000
STB	19,600
TCB	31,250
TPB	16,700
VCB	27,150
VIB	14,450
VPB	15,200

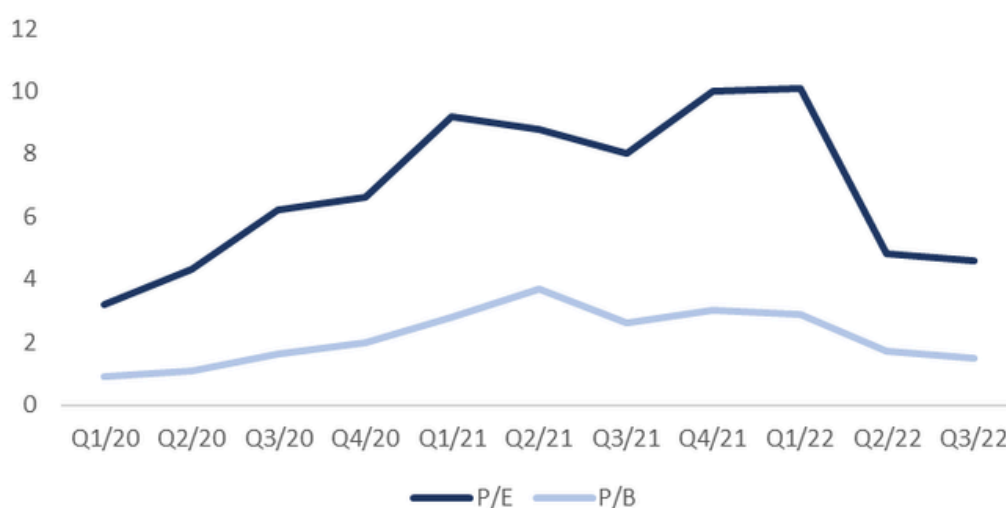
Compared to history, P/B of bank stocks is ~40% lower

VIB price chart for the last 5 years



Valuation of VIB shares quarterly

VALUATION

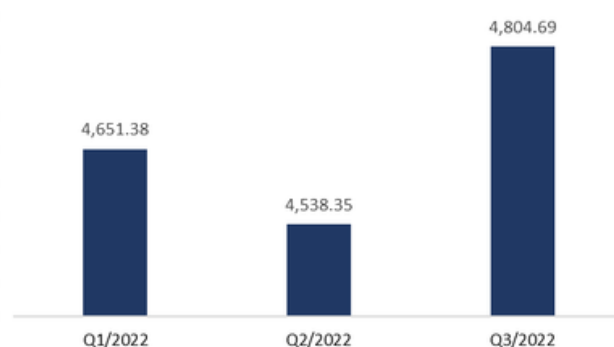


We can see that from Q1/2020 to Q3/2022, both P/B and P/E have downward trend. It means that VIB shares have been undervalued compared to the past while its breakeven years tend to decrease.

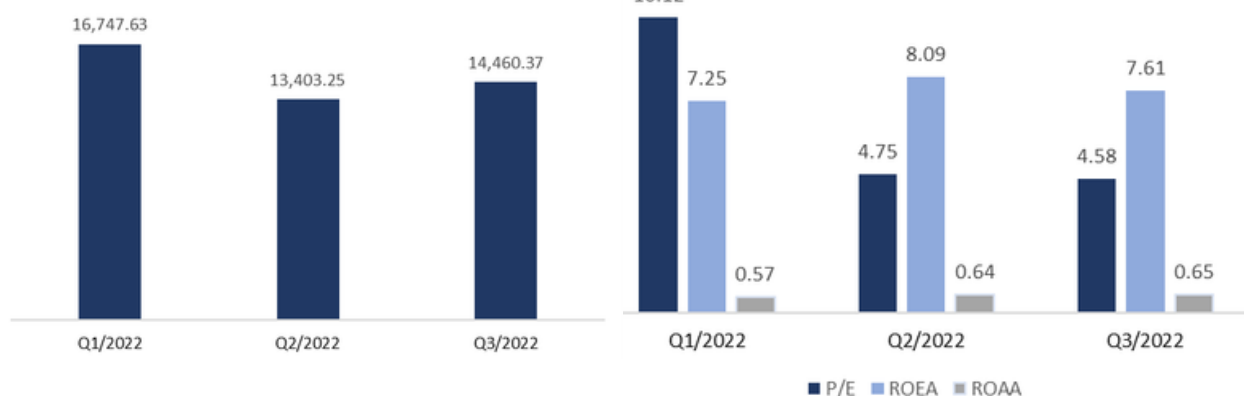
Financial indicators (In first 9 months of 2020)

Financial Ratios	Q1/2022	Q2/2022	Q3/2022
EPS	4,651.38	4,538.35	4,804.69
BVPS	16,747.63	13,403.25	14,460.37
P/E	10.12	4.75	4.58
ROEA	7.25	8.09	7.61
ROAA	0.57	0.64	0.65

EPS



BVPS

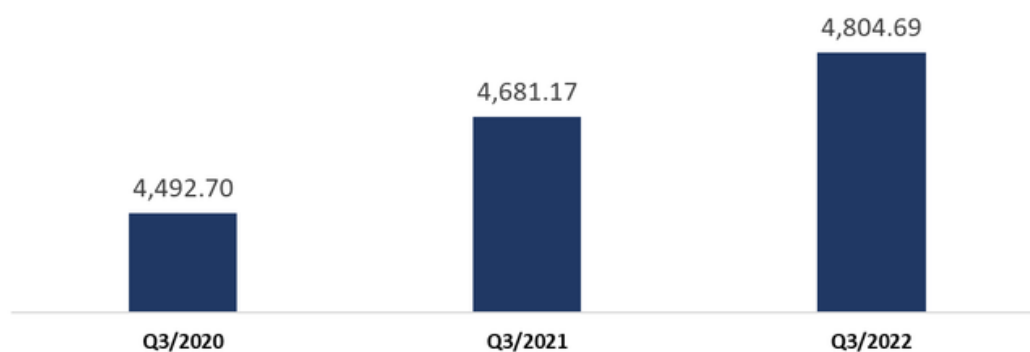


Financial indicators (comparing from Q3/2020 to Q3/2022)

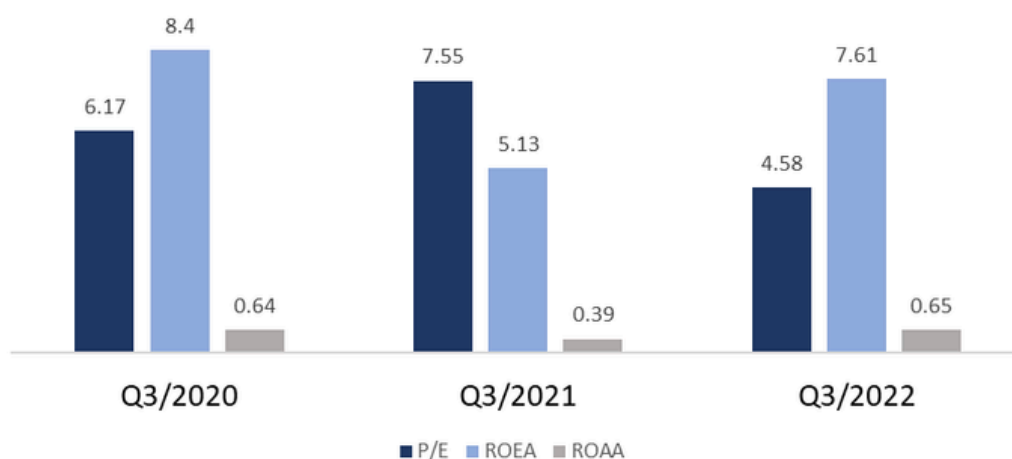
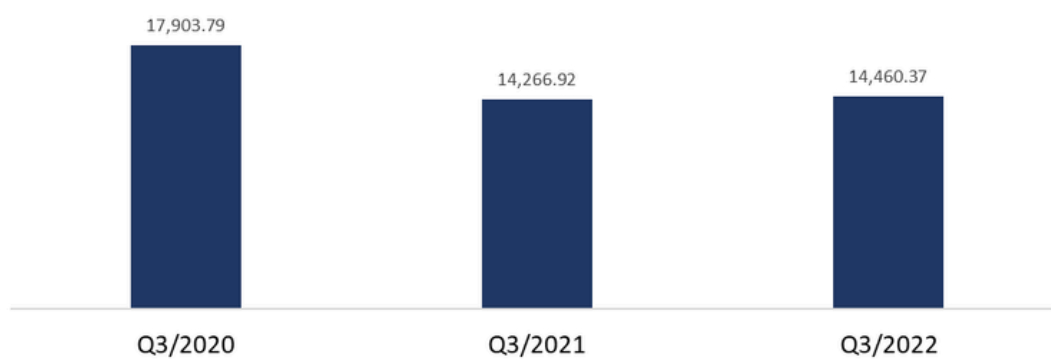
Financial Ratios	Q3/2020	Q3/2021	Q3/2022
EPS	4,492.70	4,681.17	4,804.69
BVPS	17,903.79	14,266.92	14,460.37
P/E	6.17	7.55	4.58
ROEA	804	5.13	7.61
ROAA	0.64	0.39	0.65

Comparing Q3 of the years 2020 - 2021 - 2022, we find that EPS tends to increase, which shows that the basic earnings per share of this company tends to increase. Besides, an EPS of more than 1500 or at least 1000 is considered good.

EPS

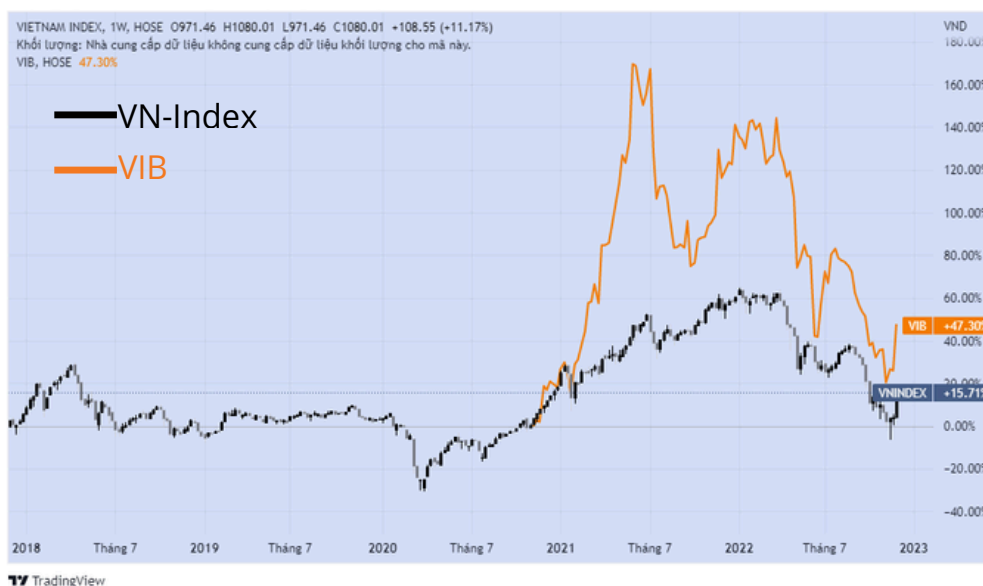


BVPS



Technical analysis

Comparison between VN-Index and VIB: VIB has the same trend with VN-Index.



As we can see, although financial indexes tend to turn positive, despite the difficulties of the epidemic or the war between Russia and Ukraine, VIB's share price is also affected by the downtrend of the whole floor in previous trading sessions. Currently, VIB stock is trending up again in a short time, but in the long term (shown at MA200), the declining cycle of VIB stock will continue for a long time to have accumulation and a solid foundation for good growth.

In the current period, based on the trading volume of this stock and its price range, we can see that it has high liquidity and has the ability to bring high profit from arbitrage. This shows that at the moment, stocks are more suitable for short-term investment or speculation than for long-term investment.

We recommend that you buy VIB shares at VND 18,400, and only hold for short term, sell them at VND 20,500 (it depends on your risk appetite, here we choose to take profit at 10%). If you want to continue investing, more observation time is required after that (due to the high volatility of the market during this period, it affects the price fluctuations).

Trading volume (1 week)	8,743,660
Trading volume (1 month)	5,325,314
Trading volume (1 quarter)	3,364,937
Trading volume (1 year)	2,279,961
Highest 52 weeks	11,706,100
Lowest 52 weeks	380,900

In short run:

The MA9 crosses the MA20 from the bottom up at VND 18,400, from the top down at VND 19,800.



In long run:

The MA20 line crosses the MA200 line from above at 30,200 VND.



FINANCIAL REPORT ABOUT VIB

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